

**How do price changes affect household consumption patterns across
income groups in India?**

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Abstract

This paper looks at how price changes affect consumption patterns for households with varying levels of income in India including the distributional effect of inflation. Using secondary data from the NSSO Consumer Expenditure Survey along with Consumer Price Index (CPI) figures released by the Reserve Bank of India (RBI) and the Ministry of Statistics and Programme Implementation (MOSPI), this research takes a qualitative and descriptive analytical approach in examining this topic. By looking at different types of consumption structures based on household income levels, along with how each income category has changed through time due to increasing prices, we have determined that those households located in the lowest income bracket are disproportionately impacted by rising prices (inflation) since they spend a larger percentage of their income on essentials (i.e., food and fuel) as compared to those families located within the higher income brackets where there appears to be more flexibility in changing their consumption patterns based upon the current status of price movements (inflation). Overall, the results support the assertion that inflation is regressive in nature, requiring policymakers to pay attention to the distributional effects of inflation when developing policies aimed at helping those who are experiencing the greatest burden from rising prices.

1. Introduction

One of the most consistent and pronounced impacts of inflation on the Indian economy has been the impact inflation has had on the cost of living on households, regardless of their socio-economic status. Because price changes in the basic needs (Food, Fuel, Services, etc.) affect spending on those needs, price changes will subsequently affect the total welfare of

households. Understanding how households react to price change is an important factor in understanding the economic consequences of inflation.

Conversely, Consumption is generally viewed as a reliable representation of Welfare for households, by indicating a household's ability to purchase basic physical necessities and level of living over time. For that reason, consumption expenditure is considered a more stable predictor of an individual's economic status than income due to variations in income (i.e., income may be low or not accurately considered for taxes). Therefore, by examining Household Consumption, we see the cumulative impacts that Inflation has on the consumption of goods and services.

Inflation has varying effects on people of different income levels. Low-income households typically consume a higher percentage of their income as basic physical needs, and therefore, they experience more adverse effects of inflation and price increases on their necessary goods. Conversely, High-Income Households have a larger cushion to absorb price increases and have greater capability to adjust their personal spending habits accordingly. Therefore, inflation is likely to have a higher proportionate impact on Low-Income households and to a lesser degree than on High-Income households.

2. Conceptual Background

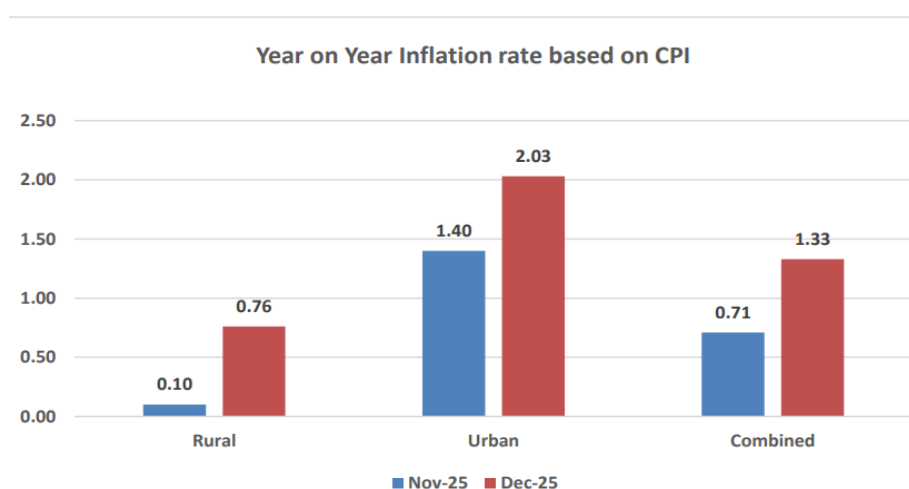
2.1 Inflation and Household Welfare

Inflation is defined as a general increase in the overall cost of living that people experience. When prices go up, people need to spend more money in order to buy the same 'basket' of goods and services that they would normally buy. All these additional expenses affect

an individual's standard of living. From the perspective of measuring the quality of living (or welfare), It is important to look at inflation not only from the average rate of inflation point of view but also to look at how inflation will impact an individual's ability to meet their most basic needs.

Often, two types of inflation are discussed; the 'Headline Rate' of Inflation and Agency Experience of Inflation, with the first being representative of a consumer price index, and the second depending entirely on a household's individual consumption pattern (i.e., how much money households are able to spend on their daily living).

Inflation, by its very nature, also reduces real purchasing power. As prices increase at an accelerating pace, if household income does not increase proportionally with the increase in prices, an individual's real income decreases. Therefore, as prices increase, families will reduce their consumption in order to save money and balance their budgets. This will be particularly evident to those families who do not have adequate financial resources to sustain themselves while they adjust to increased costs associated with Inflation.



Source: [Mospi](#)

2.2 Consumption Behaviour Across Income Groups

For example, lower-income households generally focus their spending on food, shelter, and utility services (energy, etc.). Higher-income households tend to spend more of their total purchases on non-necessities (luxury goods). Because of this difference in consumption habits, lower-income households are less able to adjust to price fluctuations than higher-income households, who tend to have more discretionary spending habits than do lower-income households.

The differences between "necessities" (items that must be purchased regardless of how much they cost) and "discretionary goods" (items that can be delayed or substituted) are critical to understand the differences in the responses of lower- and higher-income households to changes in price.

This phenomenon can also be explained by Engel's Law. Engel's Law states that when a person has more income, he/she will spend less on food as a percentage of income even though he/she will spend more money on food in absolute terms. Because of this difference in expenditure habits, poorer households will typically experience a greater negative impact from increased prices of essential goods than the wealthier households.

Statement 2: Trend in level of Consumption since 2011-12: All-India			
Sector	Average MPCE (Rs.) over different period		
	2011-12 (68 th round)	2022-23	2023-24
Rural	1,430	3,773	4,122
Urban	2,630	6,459	6,996
Difference as % of Rural MPCE	83.9	71.2	69.7

Source: [PIB](#)

2.3 Distributional Impact of Price Changes

Changes in the price level are regressive; that is, they impose a greater burden (larger relative increase in expenses) on low-income households. Because low-income households spend a greater portion of their budget on necessities, an increase in these prices results in a dramatic decline in their quality of life due to the way price changes affect low-income households and provide no ability for adjustment.

The limited ability of low-income households to adjust their consumption expenditures creates another barrier to their welfare, as such households typically have very little savings and limited access to credit. Thus, when the prices of essential goods increase, low-income households can only respond by decreasing the quantity consumed or by altering the quality of the products purchased.

In contrast, higher-income households possess a greater ability to smooth their consumption patterns over the longer term compared to low-income households. Higher-income households typically have access to savings, various investments, or can make minor adjustments to their discretionary expenditures, thereby allowing them to maintain their living standards regardless of increases in prices.

Statement 1: Average MPCE (Rs.) and share of food and non-food items in 2023-24: All-India				
Item Group	Rural India		Urban India	
	Average MPCE (Rs.)	Share in MPCE (%)	Average MPCE (Rs.)	Share in MPCE (%)
Food	1,939	47.04	2,776	39.68
Non-food	2,183	52.96	4,220	60.32

Source: [PIB](#)

3. Review of Literature

A large number of scholarly articles have examined the effects of inflation on household consumption patterns. For instance, (Deaton, 1997) and (Attanasio et al. ,2013) have shown that lower-income households are more vulnerable to increases in the prices of necessities than higher-income households; therefore, lower-income households are likely to suffer larger losses regarding their quality of life and an inferior standard of living due to increases in the prices of necessities. Additionally, more current studies show that the rate of inflation felt by individual households may be significantly different than the rate of inflation for the economy in general, specifically when the price of food or energy rises dramatically.

The National Sample Survey Organization (NSSO) has provided a wealth of information on the consumption expenditure patterns of Indian households. These data sets have been instrumental in the analysis of household welfare levels and the distribution of income in India. (Deaton & Dreze, 2009) highlighted that disparities in household consumption patterns exist across the different income groups, and the majority of the poorer households spend the largest proportion of their consumption income on food and essential products. Other scholars have documented the changing composition of household consumption patterns over the last several years using NSSO data, but have also highlighted the continuing vulnerabilities of the low-income households to price shocks (Himanshu, 2011).

In addition, an increasing number of new studies are looking specifically at the relationships between food price inflation, fuel prices, and income inequality. These studies indicate that when food prices increase at a greater rate than increases in income, poorer households will experience greater difficulties than higher-income households, and the only

option they have to respond to rising food costs will be to consume less or purchase less expensive (or lower-quality) food products (Headey & Fan, 2008). On the other hand, as indicated by (Dreze and Sen, 2013), higher food prices and higher fuel prices have also been linked to declines in the levels of real consumption and higher levels of income inequality, especially in rural India.

One area where existing research has not yet provided significant amounts of qualitative information on is in the integration of price changes with consumption patterns across different income groups. Existing research has focused more on the quantitative dimension of the price effects than on the qualitative dimensions of the price changes. This paper will fill the gap of existing research with respect to providing descriptive and distributional analyses of consumption patterns across the different income classes that were obtained through the NSSO.

4. Data Sources and Qualitative Analytical Approach

4.1 Data Sources

Research for this paper is based on secondary data collected from two principal sources: the National Sample Survey Office's (NSSO) Consumer Expenditure Survey and Consumer Price Index (CPI) data made available by the Reserve Bank of India (RBI) & the Ministry of Statistics and Programme Implementation (MOSPI). The NSSO Consumer Expenditure Survey provides detailed data regarding the amount of money spent by households on various types of items within broad categories including food, fuel, shelter, health care, education, etc. Households are classified according to their Monthly Per Capita Consumption Expenditure (MPCE), or household income, so that a clear comparison can be made of the various consumption habits of

each income bracket. As a Nationally representative survey, this survey provides a useful tool for better understanding the differences between the distributional behaviours in the consumption of different income groups.

The CPI data obtained from the RBI and MOSPI are used as a means to measure the change over time of prices of goods and services. The current analysis examines overall CPI, as well as various CPI sub-indices, most notably food and fuel, both of which are very relevant to the financial burdens placed on households. Further, CPS data enables comparisons of rural versus urban households, as well as comparisons of price trends between different times in history, therefore providing valuable context for understanding changes in household consumption patterns.

A qualitative and descriptive analytical strategy was selected for this study. In examining the patterns of household consumption during price increases in comparison to previous and current price inflation trends for households falling within specific income groups, this study will provide detailed information about the differences among the different income groups (non-agricultural vs. agricultural vs. urban). A thorough understanding of the overall trend of each income group over the period of increasing price inflation and of how the households of each income group responded differently to price inflation is analyzed in this study.

5. Consumption Patterns Across Income Groups

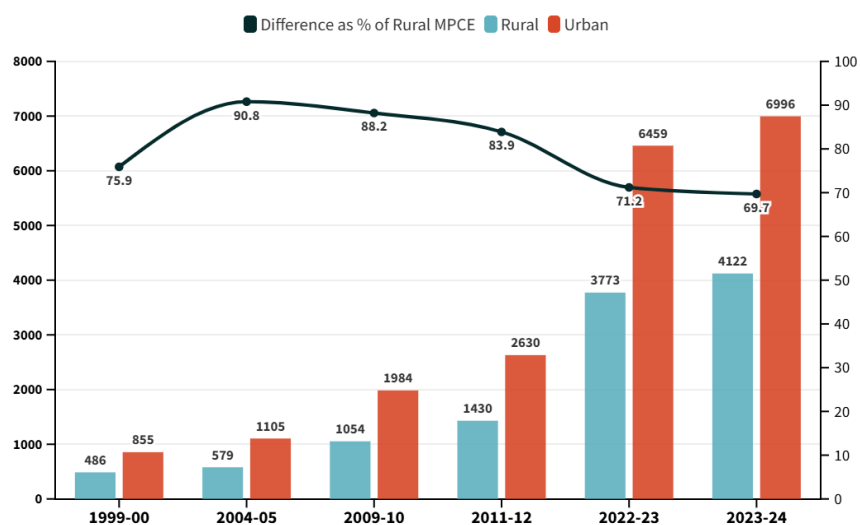
5.1 Structure of Household Consumption

In India, household consumption has varied significantly and continues to vary depending on the household's income, types of expenditures that the household has and location of the household within the country. Poor households typically spend a high proportion of their incomes on basic needs (food, fuel, basic services) prior to having sufficient disposable income for the purchase of discretionary items. Food constitutes approximately 50% of total household expenditures for poorer households in India and therefore leaves little potential for other types of spending, while wealthier households spend much less of their overall total spent on food and other basic necessities and a much greater portion of their total spent on discretionary consumption (education, health care, transport and leisure time) than poorer households do.

Additionally, types of consumption diversity are dependent on the income levels of households. Poor households typically tend to spend the majority of their income on a very limited range of basic necessities and essential goods; whereas wealthier households generally exhibit broader categories of goods with variation in value (i.e. not a necessity). Additionally, the increased variety of goods available to higher income households allows them to adapt their consumption patterns in response to changes in the prices of items without as many challenges as poorer households face.

Estimates of all-India average Monthly Per Capita Consumption Expenditure (MPCE)

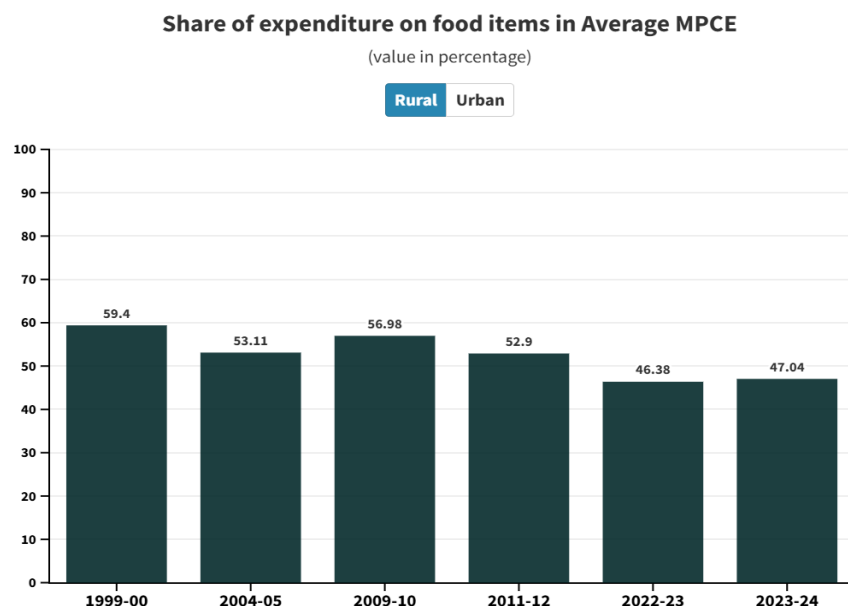
(value in INR)



Source: [Factly](#)

5.2 Exposure to Price Changes

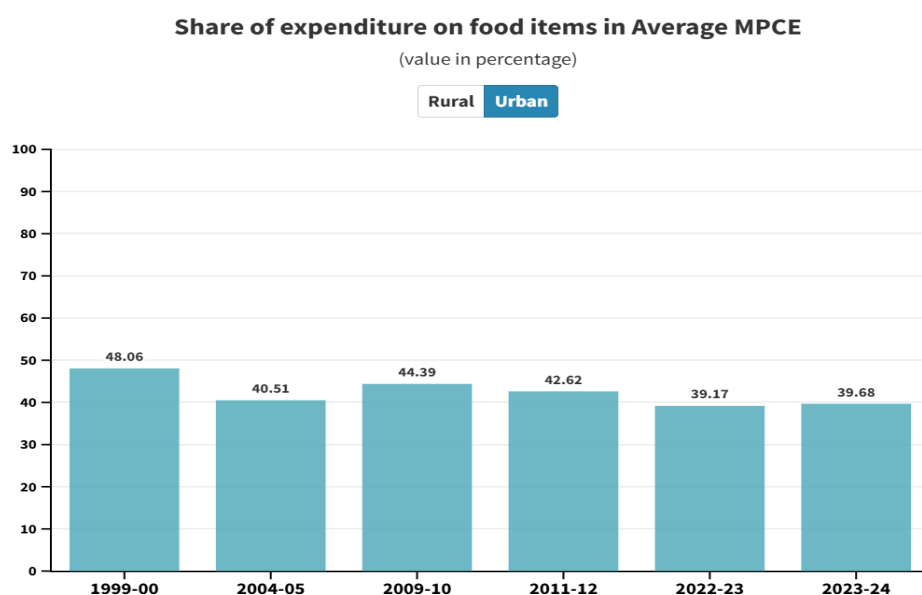
Inflation is affected by the setup of consumer consumption in households, and also affects how a household reacts to inflation. The significant categories of expenses, such as food staples (e.g., bread, rice and beans), gasoline, and cooking gas, are likely to be impacted more than other expenditures due to the higher percentage of a household's monthly budget allocated to these types of expenses for lower-income households. When the price of these categories of expenses rises, it creates an unequal burden on the consumption ability and welfare of lower-income households compared to all other income levels.



Source: [Factly](#)

Additionally, since each income group has its own set of consumption baskets, each will experience different rates of effective inflation. Because they spend smaller proportions of their budgets on these essential categories of expenses, high-income households have less exposure to larger price shocks, while low-income households will experience greater reductions in consumption quantity as a result of larger price increases. Urban households will also tend to have greater exposure to the impacts of inflation in service-related categories, whereas rural households will be more impacted by fluctuations in prices for food and energy. The overall effect of these patterns is to illustrate that inflation has a regressive nature: as the same amount of money is spent on food and energy by all households, the additional burden is borne more heavily by lower income households, who will need to adjust essential consumptions (i.e.,

change what they consume) or reduce their budgets for non-food expenses, whereas high income households may be able to adjust only occasionally as needed due to price increases.



Source: [Factly](#)

6. Household Responses to Price Changes

6.1 Low-Income Households

Households with the lowest incomes are likely to be the most affected by rising prices of essential items (such as food, fuel and basic utilities). When a price increase occurs, households with low incomes often change the amount or the quality of what they purchase. For instance,

they may choose to buy smaller amounts of food, purchase cheaper versions of branded products or cut back on the purchase of nutritious foods in order to buy a staple item.

Additionally, households with a low-income typically reduce their spending on non-essential items (clothing, education-related expenses, or leisure-related expenditures) as a result of the higher costs associated with buying necessary items. Because of limited savings and a lack of access to credit, low-income households are more likely to experience consumption smoothing problems, which makes them very sensitive to short-term price increases.

6.2 Middle-Income Households

Households with a middle-income have a little bit more flexibility than those with a low-income, however, these families are still impacted by inflation in the essential products they purchase. Households in this category may experience a reallocation of spending within non-food categories. This category may result in pulling back on discretionary expenditures such as entertainment, travel or luxury items.

Middle-income households are also likely to either save less or defer some planned expenditures in order to sustain the buying power of the necessary items that they typically purchase. Although middle-income families are generally in a better situation than low-income families to withstand the effects of rising prices, prolonged periods of rising prices will diminish their real purchasing power and the choices associated with their lifestyles.

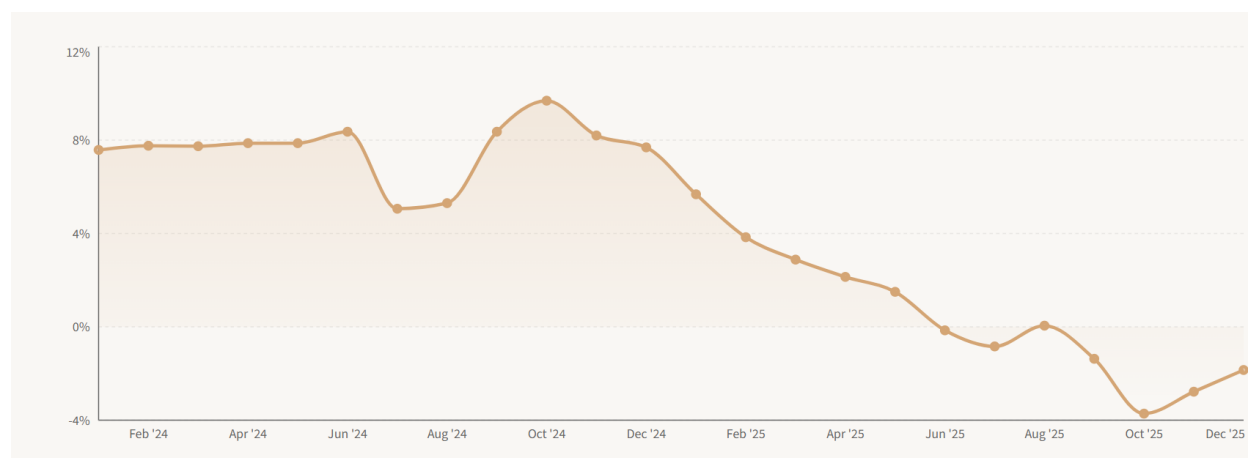
6.3 High-Income Households

High-income households typically can navigate through changes in prices without completely interrupting their lifestyle. They can "smooth" their purchases (spending) through

several means - savings, credit, or (generally) little changes to discretionary purchases. Because of the smaller share that necessary goods has on their overall expenditures, when staple or fuel prices rise, it has a minimal effect on their overall consumption. In general, their lifestyle changes (with respect to price increases) will usually be minimal; therefore, they continue to have available to them a great diversity in what they may consume, regardless of inflation.

7. Distributional Implications of Inflation

24-month Inflation Trend on Food and Beverages



Source: [IndianInflation](#)

In India, Inflation impacts people with low income the most; it does so in a Regressive Fashion. The poorer or lower caste people spend more of their budgets on basic needs (Food, Fuel, and Energy); therefore, when prices go up, it affects their 'Real Purchasing Power'. Higher-

income earners spend less of their budgets on basic necessities; therefore, higher-income earners are less affected by the same price increase.

Welfare losses caused by Inflation are highly pronounced for lower- and mid-income households. The reduction in both quantity and quality of food can create nutritional deficiencies, particularly in children and other vulnerable household members. Also, spending cuts in healthcare, education, and other essential services create threats to the Long-Term Well-Being of lower/mid and marginalized Income households and reinforce cycles of deprivation.

Inflation creates inequality and increases poverty vulnerability: more than higher-income earners (less than lower-income earners), thus there is increasing economic disparity between lower vs. higher-income households. People living in rural areas, as well as those with fixed or irregular income, are particularly vulnerable, creating the need for policy considerations that address the distributional effects of inflationary price changes and not just aggregate inflation indicators.

8. Discussion

The data about how households use money and how they change what they buy with changes in the prices of items shows that there are differences in how much money is being used or received to deal with the changes in prices for different household types. Lower-income households are impacted more severely by inflation and the prices of basic goods because they typically have more fixed spending on basic needs and less ability to purchase items, due to limited financial means. Lower-income households change (decrease) both the quantity of items they buy and how much money they spend on non-essential items. Middle-income households

also have the same patterns but are now spending less on savings and are redistributing their spending from non-essential items to essential items. High-income households experience little change in how they buy or spend money on goods because of greater access to resources and flexibility regarding how and when to use their financial means or capital.

The results are also supported by studies conducted in the past based on National Sample Survey Data (NSSO) (Deaton and Drèze, 2009; Himanshu, 2011) where people with lower incomes typically spend a higher percentage of their annual income on food and basic supplies, leading them to be more adversely affected by inflation and price changes than people with higher incomes. Studies conducted internationally support this conclusion that poorer households are subjected to much greater real inflation rates than higher-income households due to what they buy (Attanasio et al., 2013; Kaplan, Moll, and Violante, 2018).

In addition to household income levels, structural and institutional elements play an important role in determining the extent of vulnerability to inflation. The lack of access to savings, credit, and services from government or society will affect low-income households' ability to smooth consumption over time. Rural households tend to be especially vulnerable to extreme price volatility of food and fuel due to relying on local markets for their sourcing and limited opportunities for diversifying income through employment or business. Urban and high-income households typically have a more diversified income and greater access to goods and services; consequently, they experience lower vulnerability due to inflation.

In essence, while inflation is an aggregate economic event, it is also a distributional issue; that is there are structural inequities that create amplification of the impact of inflation on the most vulnerable households.

9. Policy Implications

The differential effects of price changes on different income groups indicate the need for policies that provide protection for those households that are below the poverty line or that otherwise cannot afford to support themselves through a combination of wages and social assistance. Stabilising the price of basic goods (including food) and fuel, essential for a significant portion of low-income households' spending, is among those policy measures. The implementation of measures to stabilise the price of essential goods (food) will also help to mitigate the impact of price volatility on low-income households by enabling them to maintain some stability through increased monitoring of prices and timely interventions in the event of price volatility.

Programmes aimed at increasing food security will also mitigate the negative effects of inflation on households. For instance, in terms of food security, programmes like the Public Distribution System (PDS), which provide subsidised food to low-income households, will provide access to essential nutrition during times of inflation. Increasing the access, efficiency, and quality of food security programmes will further assist households who become economically disadvantaged due to inflation.

Policy creation should also be cognisant of whether to utilise targeted or universal methods of providing support. Targeting support in the form of household-specific subsidy programmes directed solely towards low-income households, at an efficient level, provides the opportunity to mitigate the disparity caused by inflation as well as support low-income households in their attempts to maintain a level of household consumption comparable to higher-income households. However, universal measures such as generalised essential commodity

subsidies and fuel subsidy programmes may be necessary to ensure that households have access to goods and services, while providing a smaller financial burden relative to targeted support. Taking a balanced approach to develop and provide support for both the disadvantaged and the general population ensures the delivery of adequate support without creating excessive financial strain.

10. Conclusion

The study explains how the price changes affect all of the households in different income categories, but the low-income category of households experience significantly more effects from an increase in prices of basic goods such as food and fuel. The low-income category of households will often have to reduce the amount of goods that they consume, reduce the quality of goods that they consume, or reduce or eliminate their purchases of non-essential items. The middle-income households will typically respond by reallocating their spending and reducing their savings. The high-income category of households will primarily be spared from the impact of inflation because they generally have a higher financial capacity and flexibility. As such, the impact of inflation appears to be regressive by nature, and this has the potential for increasing the level of existing economic inequality.

The study results support the need for developing public policies that address issues of distributional sensitivity to inflation. The establishment of measures to stabilize prices of essential goods, support programs to provide food security, and to provide targeted assistance to the most vulnerable households can help mitigate some of the welfare losses by rising prices. Additionally, public policies need to be developed based on the consumption patterns of each

household and not solely based on aggregate inflation rates as aggregate inflation does not capture the differential impact and exposure of inflation to different groups of income.

Future studies may examine the variation in inflation exposure by region, the role that informal support networks play in helping to mitigate the consumption shock, and the long-term effects of inflation on income and nutritional outcomes and human capital development.

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